

TCI Express Q2FY22 results were in line with our expectations

- Revenue increased by 28.4% YoY to Rs 2734.4mn (+22.6% QoQ). Revenue was mainly driven by SME customers. Volume growth 26% price increase 1%
- EBIDTA improved by 39% YoY to Rs 452.6mn (+41% QoQ)
- EBIDTA Margins stood at 16.55% as against 15.29% YoY and 14.39% QoQ (close to highest ever margins of 17.27% in Q3FY21) which was driven mainly by higher capacity utilization @ 85.5% v/s 83.5% QoQ
- PAT stood at Rs 340.4mn up by 45% YoY (QoQ +43.27%)

Other Details

- Operating Expense as % to Revenue stood at 68.1% v/s 67.8% YoY (68.3% QOQ)
- Employee Benefits increased by 24.1% YoY to Rs 27.37mn on a QoQ basis it increased by 8%
- Other Exps as % to Revenue 5.4% v/s 6.5% YoY and (5.8% QoQ)
- Interim Dividend declared Rs 3/-

Outlook:

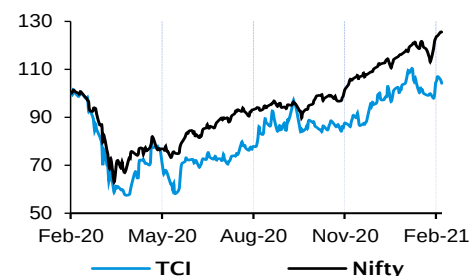
- H2 for TCI Express Ltd would be better than H1 and with good monsoons, increased vaccination and pent-up festive demand management is confident to achieve the guided 40%+ revenue growth over lower base of FY21.
- EBIDTA margins too are expected improve by 150bps in FY22 and aim is to reach 22% by FY25-26

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,725	8

Market data

Current price	Rs	1,602
Market Cap (Rs.Bn)	(Rs Bn)	62
Market Cap (US\$ Mn)	(US\$ Mn)	827
Face Value	Rs	2
52 Weeks High/Low	Rs	1,747/761
Average Daily Volume	('000)	187
BSE Code		532349
Bloomberg		TCIEXP.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Jun-21
Promoters	66.54	66.71
Public	33.46	33.29
Others		
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs)	FY19	FY20	FY21	FY22E	FY23E
Net sales	10,238	10,320	8,440	11,384	13,433
EBIDTA	1,190	1,213	1,343	1,855	2,401
Margins	11.6	11.8	15.9	16.3	17.9
PAT (adj)	728	891	1,006	1,353	1,745
growth (%)	24.7	22.3	12.9	34.5	29.0
EPS	19.0	23.2	26.2	35.1	45.3
P/E (x)	84.1	68.9	61.2	45.5	35.3
P/B (x)	22.9	18.2	14.2	11.4	9.0
EV/EBITDA (	51.3	50.2	45.1	32.7	25.1
RoE (%)	27.3	26.4	23.2	25.0	25.6
ROCE (%)	40.8	33.4	28.8	32.0	33.0

Source: Dalal and Broacha

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Conference Call Highlights

- **Industry:** E-Way bill generation registered 41% QoQ and 19% YoY growth
- Demand was across key customers as well as SME's supported by Festive season
- 15 new branches added in Q2FY22 mainly in south and western region
- Cash and investment crossed Rs1bn Volume:
- **Volumes:** Q2FY22 volumes stood at 2.2 lac tons +26% YoY || H1FY22 volume 4lac tons v/s 2.53 lac tons YoY

FY22 target: is to achieve 40% Revenue growth with 35% volumes (on low base of FY21)

Utilization levels 85.5% v/s 83.5% QoQ,

Network expansion from FY17 to FY21:

- 32k locations to 40k
- Branch offices from 500 to 800+ (will add another 100 in FY22)
- Sorting centres 26 to 28
- Customer count 1.6lacs to 2.0lacs

Update on new services launched (EBIDTA margins upwards of 20%), contribute ~15% of Revenue estimated to reach 25% in next 3-4 years i.e. Rs 5bn

- **RAIL Express service (launched in Q2FY22)** is time definite, assured delivery at assured time business, that will substitute air-cargo (cost ~1/3rd of air freight) || 35 routes reached plan to reach 100 routes || . Response from customers is positive.
- **Pharma Cold Chain Express:** distributed 150 lac vaccine & till Sept 2021
- **C2C Express:** helped increase customer base. Did Rs 500mn in FY21 on pilot basis, expect to do ~ Rs 1bn in FY22.

Capex:

- Capex incurred YTD as on FY22 is Rs 460mn
- Capex FY22 and FY23 would be Rs 1bn each. (which will complete the 1st Rs 4bn capex planned in 4-5 years)

Warehouse Highlights

- Pune sorting centre fully operational since June 2021 and is helping to improve the turnaround time in the region. It is 1.5lac sqft with total capex of ~Rs 400mn
- Gurgoan 2 lac sqft sorting centre will start in Q3FY22.
- Current 28 sorting centers with 1.2mn sqft is expected to reach ~ 2.5mn sqft post the entire capex spend.
- Plans to expand in Chennai, Nagpur, Kolkatta, Mumbai
- Owned warehouse as on date 10, on lease 18 and total 28. || Plan to reach 15 owned in the next 3 years.

Quarterly Financials

Rs MNS	Q2FY22	Q2FY21	Growth	Q1FY22	Growth
Sales	2734.4	2129.5	28.4	2229.2	22.66
Other income	23.6	14.6	61.6	16.4	43.90
Total Revenue:	2758	2144.1	28.6	2245.6	22.82
Expenses:-					
Operating Expenses	1861.2	1444.4	28.9	1522.9	22.21
% to Operating Income	68.1%	67.8%		68.3%	
Employee benefit expenses	273.7	220.6	24.1	255.6	7.08
% to Operating Income	10.0%	10.4%		11.5%	
Other expenses	146.90	138.90	5.8	129.90	13.09
% to Operating Income	5.4%	6.5%		5.8%	
Total Expenses	2,281.80	1,803.90	26.5	1,908.40	19.57
EBITDA (exc OI)	452.60	325.60	39.0	320.80	41.08
EBITDA Margin %	16.55%	15.29%		14.39%	
EBITDA	476.20	340.20	40.0	337.20	41.22
Depreciation	23.60	21.70	8.8	22.30	5.83
Interest	3.0	3.1	(3.2)	1.100	172.73
PBT	449.60	315.40	42.5	313.80	43.28
PBT %	16.44%	14.81%		14.08%	
Tax expenses	109.20	80.50	35.7	76.20	43.31
<i>Tax Rate</i>	<i>24.3%</i>	<i>25.5%</i>		<i>24.3%</i>	
PAT	340.40	234.90	44.9	237.60	43.27
Adjusted PAT	340.40	234.90	44.9	237.60	43.27
NPM	12.34%	10.96%		10.58%	
Equity	76.9	76.9	-	76.9	-
EPS	8.85	6.11	44.9	6.18	43.27

**Q2FY22 Revenue over
Q2FY20 increased by 1.5%**

**EBITDA margins maintained
close to all time high of
17.27%**

Valuation & Outlook

TCI Express's USP lies in its strong network coverage, of 40000 locations serviced by 5000 containerized trucks, 825+ branches and 28 sorting centers.

TCI express market share (*in terms of value of goods carried*) has reached 8% from 5% at end of FY21. Going forward logistics industry is expected to reach \$1tn by 2030 from current levels of \$360bn, out of this 70% would be road-transport i.e. \$700bn of which TCI Express aims to capture 15-20%.

TCI Express one of the fastest growing multimodal company and the recently launched 'PM Gati Shakti National Master Plan' for multimodal infra connectivity opens up a very big-opportunity for a player like TCI Express.

Between FY17 to FY21 topline has been growing at a CAGR of 3% topline (FY21, lower due to pandemic, however FY17 to FY20 it was 11%), 21% on EBITDA and 24% on PBT with a strong cashflow on account of its asset light model. The company's ROE and ROCE as of FY21 stands at 23% and 29%. It is now debt free with cash and cash equivalents of Rs 1 bn.

The management is confident of doubling the topline in next 4 to 5 years generate 4x PBT aided by launching new value added services which translates in to 15% CAGR on topline and 30% on PBT

At CMP of Rs 1600 TCI express trades at 45.5x FY22e EPS of Rs 35 and 35.1x FY23e EPS of Rs 45.3. We maintain **Buy on Dips** with a target price of Rs 1,725

Financials

P&L (Rs mn)	FY19E	FY20	FY21	FY22E	FY23E	Cash Flow St. (Rs. mn)	FY19E	FY20	FY21	FY22E	FY23E
Net Sales	10,237.9	10,319.6	8,439.9	11,383.8	13,432.9	Net Profit	728.4	890.8	1,006.0	1,352.6	1,744.7
Raw Materials	(7,533.8)	(7,341.6)	(5,667.3)	(7,636.6)	(8,870.0)	Add: Dep. & Amort.	65.3	77.9	89.7	116.6	143.6
Employee Cost	(858.5)	(1,018.0)	(873.4)	(1,187.4)	(1,306.1)	Cash profits	793.7	968.7	1,095.7	1,469.2	1,888.3
Other Expenses	(655.7)	(747.0)	(556.0)	(705.0)	(856.0)	(Inc)/Dec in					
Operating Profit	1,189.9	1,213.0	1,343.2	1,854.8	2,400.8	-Sundry debtors	(87.6)	(26.3)	(36.9)	(488.6)	(393.0)
Depreciation	(65.3)	(77.9)	(89.7)	(116.6)	(143.6)	-Inventories	-	-	-	-	-
PBIT	1,124.6	1,135.1	1,253.5	1,738.1	2,257.2	-Loans/advances	(26.9)	(23.7)	(22.8)	(12.5)	(20.8)
Other income	31.9	43.7	76.5	75.4	82.2	-Current Liab and					
Interest	(37.8)	(9.0)	(7.8)	(6.0)	(7.8)	Provisions	46.8	(104.3)	151.8	89.3	41.2
PBT	1,118.7	1,169.8	1,322.2	1,807.5	2,331.6	Change in working capital	(67.7)	(154.3)	92.1	(411.8)	(372.5)
Exceptionals	-	-	-	-	-	CF from Oper. activities	726.0	814.4	1,187.8	1,057.4	1,515.8
Profit before tax(post exceptional)	1,118.7	1,169.8	1,322.2	1,807.5	2,331.6	CF from Inv. activities	(252.7)	(598.6)	(1,005.1)	(626.4)	(818.3)
Provision for tax	(390.3)	(279.0)	(316.2)	(455.0)	(586.9)	CF from Fin. activities	(424.0)	(260.9)	(36.5)	(274.3)	(344.2)
Reported PAT	728.4	890.8	1,006.0	1,352.6	1,744.7	Cash generated/(utilised)	49.3	(45.1)	146.2	156.7	353.2
MI	-	-	-	-	-	Cash at start of the year	121.8	171.1	126.0	272.2	428.9
Net Profit	728.4	890.8	1,006.0	1,352.6	1,744.7	Cash at end of the year	171.1	126.0	272.2	428.9	782.1
Adjusted Profit (excl Excep	728.4	890.8	1,006.0	1,352.6	1,744.7		-	-	-	-	-
Balance Sheet	FY19E	FY20	FY21	FY22E	FY23E	Ratios	FY19E	FY20	FY21	FY22E	FY23E
Equity capital	76.6	76.7	76.9	77.0	77.0	OPM	11.6	11.8	15.9	16.3	17.9
Reserves	2,595.3	3,296.1	4,261.8	5,343.9	6,739.6	NPM	7.1	8.6	11.8	11.8	12.9
Net worth	2,671.9	3,372.8	4,338.7	5,420.9	6,816.6	Tax rate	(34.9)	(23.9)	(23.9)	(25.2)	(25.2)
MI	-	-	-	-	-	Growth Ratios (%)					
Non Current Liabilities	78.0	61.5	65.0	61.1	65.8	Net Sales	15.7	0.8	(18.2)	34.9	18.0
Current Liabilities	1,039.8	881.0	1,032.9	1,122.2	1,163.4	Operating Profit	31.3	1.9	10.7	38.1	29.4
CAPITAL EMPLOYED	3,789.7	4,315.3	5,436.6	6,604.1	8,045.8	PBIT	31.6	0.9	10.4	38.7	29.9
Non Current Assets	1,859.0	2,093.8	2,708.0	3,417.7	4,092.5	PAT	24.7	22.3	12.9	34.5	29.0
Fixed Assets	1,744.3	1,965.3	2,561.3	3,245.7	3,903.3	Per Share (Rs.)					
Goodwill	-	-	-	-	-	Net Earnings (EPS)	19.0	23.2	26.16	35.13	45.32
Non Current Investments	114.7	128.5	146.7	172.0	189.2	Cash Earnings (CPS)	20.7	25.3	28.5	38.2	49.0
Deferred Tax Asset	-	-	-	-	-	Dividend	2.9	4.6	4.0	7.0	9.1
Long Term Loans and Advances	-	-	-	-	-	Book Value	69.8	87.9	112.8	140.8	177.1
Current Assets	1,930.7	2,221.5	2,728.6	3,186.4	3,953.3	Free Cash Flow	12.4	5.6	4.8	11.2	18.1
Current investments	-	285.9	587.1	387.1	387.1	Valuation Ratios					
Inventories	-	-	-	-	-	P/E(x)	84.1	68.9	61.2	45.5	35.3
Trade Receivables	1,631.4	1,657.7	1,694.6	2,183.2	2,576.2	P/B(x)	22.9	18.2	14.2	11.4	9.0
Cash and Bank Balances	171.1	126.0	272.2	428.9	782.1	EV/E BDTA(x)	51.3	50.2	45.1	32.7	25.1
Short Term Loans and Advances	85.1	91.9	99.8	104.8	117.4	Div. Yield(%)	0.2	0.3	0.3	0.4	0.6
Other Current Assets	43.1	60.0	74.9	82.4	90.6	FCF Yield(%)	0.8	0.4	0.3	0.7	1.1
CAPITAL DEPLOYED	3,789.7	4,315.3	5,436.6	6,604.1	8,045.8	Return Ratios (%)					
						RONW	27%	26%	23%	25%	26%
						ROCE	41%	33%	29%	32%	33%
						Net D/E	0.0	0.0	0.0	0.0	0.0

Source: Dalal & Broacha Research, Company

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